

Retrospection

User Guide

Access Limited Distribution

Table of Contents

Document Control	3
1. Overview.....	4
1.1. Purpose of the Guide.....	4
1.2. What is Retrospection.....	4
1.2.1. Retrospective Pay for Salary Paid Employees:	4
1.2.2. Retrospective Pay for Positive Input (i.e., Timesheet Paid) Employees:.....	5
1.3. Important Considerations	5
2. Configure Retrospection	7
2.1. Configure a Pay Group to Calculate Retrospection	7
2.2. Configure Retrospection Pay Codes.....	7
2.2.1. Create a Retrospection Pay Code.....	8
2.2.2. Link the retrospection Pay Code to the original Pay Code.....	8
3. Process Retrospection	9
3.1. Salary Paid Employee.....	9
3.2. Positive Input Employee	9
3.3. View Retrospection Timesheets.....	10

Document Control

Version	Date	Author	Details
1.0	28 th Nov 2022	Isabelle Grey	Published to Customer Success Portal.

1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on how to configure and process retrospection in PeopleXD Payroll.

Items covered include:

- Configure a Pay Group to calculate retrospection.
- Configure retrospection Pay Codes
- Process retrospection for salary paid employees
- Process retrospection for positive input (timesheet paid) employees

1.2. What is Retrospection

Retrospective pay, also known as back pay, is where an employee's rate or position/point has changed, and the effective date is in the past. Therefore, it is necessary to reimburse the employee and calculate their retrospective pay.

Retrospection can be generated by Payroll in many different situations. For example:

- Where a pay award is agreed in October but effective from the previous July.
- Where an employee's pay increase is back dated.

PeopleXD Payroll differentiates between salary and hourly paid employees for retrospective pay:

1.2.1. Retrospective Pay for Salary Paid Employees:

Once configured, retrospective pay for salary employees is calculated automatically as part of the Payroll Process. The Generate Salaries and Allowances task will calculate any retrospective pay for the Period.

For this to be processed you need to:

1. Configure the Pay Group to calculate retrospection.

2. Set-up arrears pay codes for each pay code, for example, basic pay arrears, holiday arrears, overtime arrears, etc. All retrospective pay will be calculated against a relevant arrears pay code.
3. Run the Generate Salaries and Allowances and Payroll Validation tasks.

1.2.2. Retrospective Pay for Positive Input (i.e., Timesheet Paid) Employees:

Positive input employees will not automatically get back pay unless the Positive Input Retrospection process is run.

For this to be processed you need to:

1. Configure the Pay Group to calculate retrospection.
2. Set-up arrears pay codes for each pay code, for example, basic pay arrears, holiday arrears, overtime arrears, etc. All employees retrospective pay will be calculated against a relevant arrears pay code.
3. Run Positive Input Retrospection.

1.3. Important Considerations

The following is a list of key assumptions when configuring and processing retrospection.

Area	Description
Payroll History	Retrospection is dependent on payroll history existing for the employee(s) in question to calculate any arrears. At a minimum the following data must exist – pay code, hours, value, transaction date, position, and point (home, override, acting).
Overtime	If overtime is based on basic only then PeopleXD can cater for this. PeopleXD does not cater for retrospection on composite overtime which is based on basic plus other pay.
Pay Codes	Positive Input Retrospection is generated for hourly and daily pay codes only. It generates arrears for timesheet or history transactions with hours or days only.

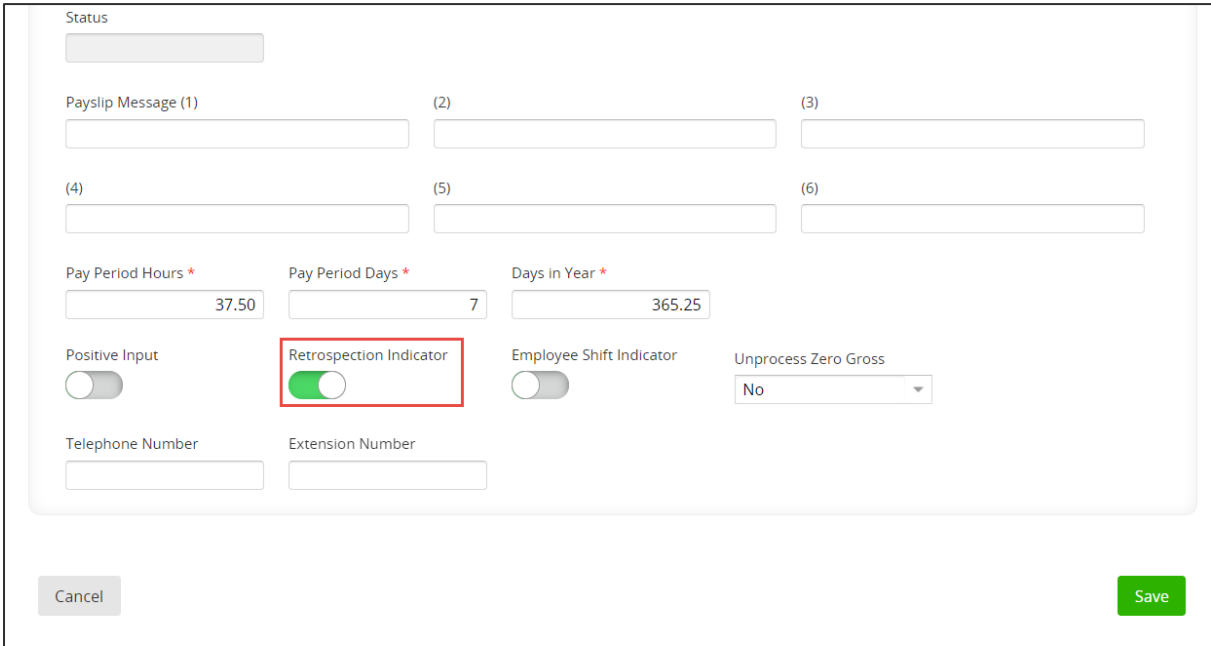
Area	Description
Unit Allowance Scaled Rates	Hours or days worked (i.e., timesheet entries) for pay codes which are Unit Allowance Scaled Rates are not catered for.
New Starters	Retrospection will calculate automatically in Payroll, provided the pay code has a retrospection pay code linked to it.
Salary Changes	Retrospection will calculate automatically, from the point PeopleXD Payroll was setup. For example, if April was the first period parallel, if entering salary changes prior April, retrospection will have to be manually calculated and entered onto a timesheet in Payroll.

2. Configure Retrospection

2.1. Configure a Pay Group to Calculate Retrospection

For retrospective pay to calculate the Pay Group needs to be configured to allow retrospection. To do this:

1. Navigate to *Payroll Dashboard > Settings > Pay Groups*.
2. Search for and select the relevant Pay Group.
3. Enable the **Retrospection Indicator**.



The screenshot shows a configuration form for a Pay Group. The form includes several input fields and toggle switches. The 'Retrospection Indicator' toggle is highlighted with a red box and is currently turned on (green). Other visible fields include 'Status', 'Payslip Message (1)', '(2)', '(3)', '(4)', '(5)', '(6)', 'Pay Period Hours *' (37.50), 'Pay Period Days *' (7), 'Days in Year *' (365.25), 'Positive Input' (toggle off), 'Employee Shift Indicator' (toggle off), 'Unprocess Zero Gross' (dropdown set to 'No'), 'Telephone Number', and 'Extension Number'. At the bottom, there are 'Cancel' and 'Save' buttons.

4. Click **Save**.

2.2. Configure Retrospection Pay Codes

It is important that every hourly or daily pay code has its own unique corresponding value retrospection pay code. This is due to the possibility of arrears being calculated on top of arrears.

To configure a retrospection Pay Code you need to:

1. Create a retrospection Pay Code
2. Link the retrospection Pay Code to the original Pay Code

2.2.1. Create a Retrospection Pay Code

1. Navigate to *Payroll Dashboard > Settings > Pay Codes*.
2. Search for the Pay Code that requires a linked retrospection Pay Code.
3. Click the 3 dot menu then click **Duplicate**.
4. Amend the Pay Code number and description, e.g., add retrospection to the description.
5. Click **Save**.



Note:

All retrospection Pay Codes should have a multiplier of 1 and must be a value Pay Code.

2.2.2. Link the retrospection Pay Code to the original Pay Code

1. Navigate to *Payroll Dashboard > Settings > Pay Codes*.
2. Search for the Pay Code that requires a linked retrospection Pay Code.
3. Click the 3 dot menu then click **Edit**.
4. Click **Step 2 Rules**.
5. Click **Add**.
6. From the Rule drop down menu select **Retrospection Pay Code**.
7. From the Value drop down menu select the retrospection Pay Code to be linked.
8. Click **Ok**.
9. Click **Next**.
10. Click **Save**.

3. Process Retrospection

3.1. Salary Paid Employee

Once configured, retrospective pay for salary employees is calculated automatically as part of the Payroll Process. To do this:

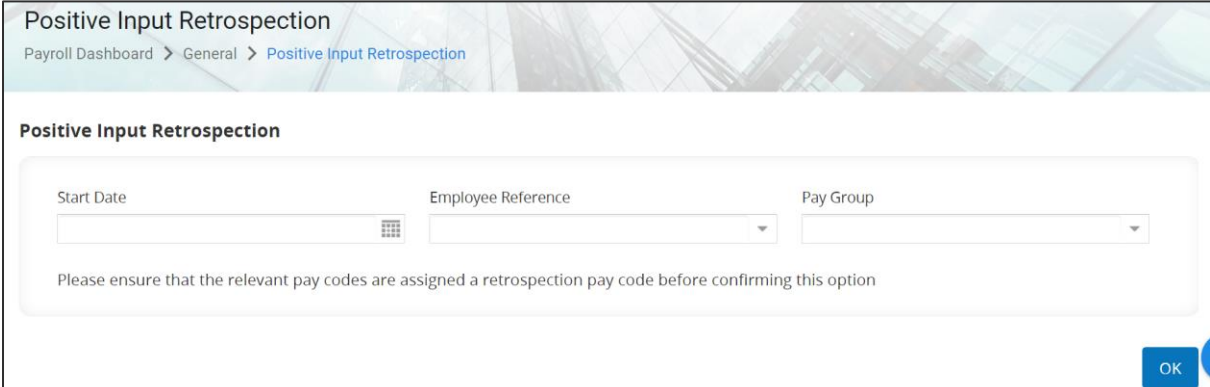
1. Navigate to *Payroll Dashboard > Manage Payroll*
2. Run the **Generate Salaries and Allowances** or **Payroll Validation** task

Any allowance paid to the employee (with a corresponding arrears pay code), will be recalculated at the new rate of pay. The amount due (arrears), will be generated as a timesheet on the employee's record. This will be paid in the current payroll period.

3.2. Positive Input Employee

To process Positive Input Retrospection:

1. Navigate to *Payroll Dashboard > Manage Payroll*
2. Select the relevant **Pay Group**.
3. Click the **Inputs** tab.
4. Click the **General** tile.
5. Click **Positive Input Retrospection**.



The screenshot shows the 'Positive Input Retrospection' form within the 'Payroll Dashboard > General > Positive Input Retrospection' navigation path. The form has a title bar 'Positive Input Retrospection' and a subtitle 'Positive Input Retrospection'. It contains three input fields: 'Start Date' with a calendar icon, 'Employee Reference' with a dropdown arrow, and 'Pay Group' with a dropdown arrow. Below these fields is a note: 'Please ensure that the relevant pay codes are assigned a retrospection pay code before confirming this option'. An 'OK' button is located at the bottom right of the form.

6. If required enter a:
 - a. **Start Date** to run the 'Positive Input Retrospection' from a specific date i.e., the date that the arrears will be generated from.
 - b. **Employee Reference** to run for a specific employee.
 - c. **Pay Group** to run for a specific Pay Group.
7. Click **OK**.

Any hours paid to the employee, will be recalculated at the new rate of pay. The amount due (arrears), will be generated in a timesheet on the employee's record. This will be paid in the current payroll period.

3.3. View Retrospection Timesheets

To view retrospection (arrears) timesheets once generated:

1. Navigate to *Payroll Dashboard > Employee*
2. Select the relevant **Pay Group**.
3. Search for the relevant employee.
4. Click **View**.
5. Click the **Timesheets Current Period** tab.

Any retrospection (arrears) records will display on the Employee's timesheet against the relevant retrospection Pay Code, ready for payment.